

complaint

Mr C complains that U K Insurance Limited (UKI) declined his claim.

background

Mr C had home insurance with UKI and made a claim for damage caused by flood. He said that a backed up drain had resulted in a flood at his home causing widespread damage. UKI appointed a loss adjuster who attended the property. The loss adjuster concluded that the damage was a result of a pre-existing damp issue and so UKI declined the claim.

Mr C complained to UKI. UKI maintained its decision in relation to the claim because there had not been a flood and the damage was not consistent with flood. It apologised for the attitude of the loss assessor and offered to pay Mr C £150 compensation for the distress and inconvenience this had caused him.

Mr C complained to this service. He is not satisfied with UKI's decision to decline his claim and believes that the policy does not differentiate between floods and other excessive rainfall. He also complains about the conduct of the loss adjuster and UK's handling of the claim.

my provisional findings

I issued a provisional decision which set out why I was minded to uphold the complaint. The relevant excerpt from my provisional decision is repeated below.

A flood does not have to be a sudden and violent event. Flooding can happen where water enters (or builds up in) a property slowly and steadily - and it does not necessarily have to be caused by the forces of nature. Water escaping from something inside a property could be the cause of a flood just as a river bursting its banks can. It is the fact that water has built up that it is important.

Mr C reported about an inch and a half of water in his basement. UKI attended the property twelve days after Mr C made the claim and it wasn't for another two weeks that the loss adjuster attended to inspect the damage. Unsurprisingly, by this time, the water had gone. I have no reason to suspect that Mr C lied about the flood-water, and so I accept that it did happen.

Having accepted that there was a flood, the crux of the complaint is whether the flood caused the damage in Mr C's house. The loss adjuster noted 'upon inspecting the damage and what appeared to be a pre historic damp issue within the property. There was a rising damp issue within the property and that the damp issue appeared to be all over the walls lower and higher'.

It is right that the policy requires Mr C to show that the damage to this home was the result of the flood. In circumstances where the loss adjuster has concluded that the damage was not a result of the flood, I would need to see evidence to the contrary before I could consider the fact that the damage might have been caused by the flood, rather than it having been pre-existing.

In response to our adjudicator's opinion, Mr C produced a report on the cause of the damage. The report includes six photographs taken by Mr C and was rejected as evidence

by UKI as he had signed it. It has since been explained that the report was produced by Mr C's employers who had visited his house when the flood first happened. It was signed by Mr C because he thought this was that this service expected. Whilst I accept the explanation of the original of this report, I do have concerns about its evidential value.

However, Mr C has submitted a letter dated in December 2014, which followed an inspection in February 2014. The builder says that 'further to my visit to look at kitchen damage on 14th February 2014, I can confirm that this was obviously caused by flooding. The flooring & units were still wet & water damage was very visible'. I note that this letter was written ten months after the inspection took place however, I don't doubt that the inspection did take place and whilst I would have preferred a record which had been made shortly after the inspection, I accept the recollection of the builder as accurate. The conclusion of the builder is no more detailed than that of the loss adjuster, but it is sufficient, in my view, to cast doubt on the loss assessor's conclusion.

I have considered the circumstances as a whole and I am not persuaded that UKI has proven that the damage was a result of a pre-existing damp issue and was therefore excluded under the policy. In my view, it is not sufficient to visit a property so long after a reported flood and comment on the existence of pre-existing damp without undertaking proper testing. This is especially in circumstances where the damage was not assessed for a month after the flood had taken place.

For UKI's decision to decline the claim to be fair and reasonable, it would need to demonstrate that the property had been properly tested for rising damp and its conclusions based on the results of those tests. I am aware that the repairs have not yet been completed and so the best way to progress the claim would be for UKI to investigate whether the house had been suffering from rising damp since before the flood.

UKI's handling of the claim

I have considered Mr C's complaint about the handling of the claim in detail. It is clear that he had to wait for a significant period before he was given any answers or a response to his complaint. I have no doubt that this would have added to the stressful nature of the claim. I therefore find that Mr C should be compensated for this and that £100 would be fair and reasonable.

Mr C has complained about the attitude of the loss adjuster and whilst I imagine that the behaviour of professionals attending the property is something which could add to the stress of the claim, I have not seen any evidence that the loss adjuster behaved in the way alleged by Mr C.

developments

Mr C accepts the findings in my provisional decision.

UKI does not accept my provisional decision and has made a number of additional points. It has queried the timeline of events I have relied on and does not accept that it should pay any more compensation to Mr C. It has also said that it does not accept the opinion referred to in my provisional decision, and has pointed out that this was written by a kitchen fitter, not a builder. UKI disagrees with my comments concerning the level of detail in its loss adjuster's report and suggests that it was Mr C's responsibility to prove that he had a valid claim under the policy.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

In my provisional decision, I commented that *'UKI attended the property twelve days after Mr C made the claim and it wasn't for another two weeks that the loss adjuster attended to inspect the damage'*. UKI has said that Mr C did not report the claim until 10th January 2014 and that he had said that the flood had taken place on 27th and 28th December 2013. I note that there are some discrepancies concerning the initial timeline however the point remains the same – when the loss adjuster attended the property, the water had gone. Further, in my provisional decision I said that I was minded to direct UKI to pay Mr C £100 compensation because he'd had to wait for a significant period before he was given any answers or a response to his complaint. This is not affected by any of the points raised by UKI in its response to my provisional decision and so my decision regarding compensation will remain the same.

I accept that the report which Mr C submitted in support of his claim was from a kitchen fitter, rather than a builder. However, this does not affect my assessment of the level of detail contained within the loss adjuster's report. UKI has said that it doesn't consider the kitchen fitter's report is evidence however, in reaching my provisional decision, I placed the appropriate amount of weight on the document. I said that it cast doubt on the conclusions of the loss adjuster. I also said that I had concerns about the evidential value of the report that Mr C had signed. I stand by those comments.

UKI has said that the onus was on Mr C to prove his claim. Whilst this is right in principle, UKI declined the claim on the basis that there was no flood damage. In these circumstances, I would need to see more evidence about what did cause the damage before I could conclude that UKI's decision was fair and reasonable. Because I am not satisfied that UKI has proven, on balance, that the property was suffering from *'a pre historic damp issue within the property'*, I have given it the opportunity to do so. It is because of the nature of the evidence submitted by Mr C that I have not gone so far as to make UKI pay the claim without first having the opportunity to show that the house had been suffering from rising damp since before the flood.

my final decision

I uphold this complaint and direct UK Insurance Limited to:

- reconsider the claim in light of my comments above regarding evidence that the house had been suffering from rising damp since before the flood
- pay Mr C £100 compensation

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr C to accept or reject my decision before 5 October 2015.

Carolyn Bonnell
ombudsman